Question 1

Read the following scenario.

You are the audit senior on the audit of the financial statements of Fine Accessories Ltd ('Fine') for the year ended 31 January 2X21. Fine is a well-established company that manufactures premium leather handbags and footwear which are sold in high-end department stores within the UK.

Your audit manager, Jane Duff, visited Fine shortly after the year-end to review the trade payables listing and, using your firm's audit software, statistically selected a sample of 16 suppliers for your trade payables circularisation.

It is now April 2X21 and your team is conducting substantive procedures at the audited entity's premises. Jane had begun to collate the results of the trade payables exercise, but unfortunately been signed off ill before she could finish her work.

As part of the trade payables circularisation exercise, Jane had identified six trade payable balances that had not yet been agreed or had variances between the confirmation received from the supplier and Fine's trade payables ledger. Jane had requested a number of extracts from Fine's financial ledger and other relevant documentation to help investigate these further. During review of the audit file left by Jane, you have located a summary of the trade payables circularisation results, copies of the trade payable circularisation responses from those balances not yet agreed and extracts from Fine's financial ledger.

Your audit partner has asked you to perform substantive procedures to complete the trade payables circularisation using the information gathered. He has also asked you to design any further substantive procedures that would be required in the event that the information gathered does not allow you to complete the trade payables circularisation exercise for each individual balance.

Question:

1. Perform substantive procedures over those balances not yet agreed, based on the information provided, and analyse your findings.

(9 marks)

2. Design any further substantive procedures required in order to complete the trade payables circularisation.

(16 marks)

(25 marks)

Summary of trade payables circularisation results

Supplier	Balance per trade payables ledger asat 31 January 2X21 £	Balance per trade payables circularisation £	Notes
Aaron Limited	14,720	14,720	Balance agreed
Abbas Limited	34,560	42,340	Balance not yet agreed
Buckle Up Limited	28,500	28,500	Balance agreed
Delta Limited	2,490	3,730	Balance not yet agreed
Design Limited	54,000	54,000	Balance agreed
Essien Limited	135,400		Balance not yet agreed
Folds Out Limited	39,300	41,700	Balance not yet agreed
Gorgeous Designs Limited	73,450	73,450	Balance agreed
Gregorius Limited	564	564	Balance agreed
Lavish Limited	24,650	24,650	Balance agreed
Premium Cuts Limited	27,800	33,100	Balance not yet agreed
Quora Soles Limited	62,700	62,700	Balance agreed
Smooth Cuts Limited	37,400	32,100	Balance not yet agreed
Soul Mates Limited	44,030	44,030	Balance agreed
Tassel Table Limited	17,620	17,620	Balance agreed
Zips Limited	13,940	13,940	Balance agreed

Responses from trade payables circularisation for balances not yet agreed

From: Abbas Limited
Date: 8 April 2X21
Fine Accessories Ltd – 31 January 2X21

In response to your request for information for audit purposes, please be advised that at 31January 2X21 we are due an amount of £42,340 from Fine Accessories Ltd.

This balance comprises the following invoices:

	£
Invoice 2356	13,500
Invoice 2413	2,360
Invoice 2498	11,300
Invoice 2546	7,780
Invoice 2612	690
Invoice 2687	6,710
Total	42,340

From: Delta Limited
Date: 7 April 2X21
Fine Accessories Ltd – 31 January 2X21

In response to your request for information for audit purposes, please be advised that as at 31 January 2X21 we are due an amount of £3,730 from Fine Accessories Ltd.

This balance comprises the following invoices:

	£
Invoice 782	2,490
Invoice 814	1,240
Total	3,730

From: Essien Limited
Date: 20 April 2X21
Fine Accessories Ltd - 31 January 2X21

In response to your request for information for audit purposes, please be advised that as at 31 January 2X21 we are due an amount of £135,400 from Fine Accessories Ltd.

This balance comprises the following invoices:

	£
Invoice 5201	22,400
Invoice 5287	5,200
Invoice 5333	64,200
Invoice 5417	32,800
Invoice 5538	10,800
Total	135,400

From: Folds Out Limited
Date: 8 April 2X21
Fine Accessories Ltd – 31 January 2X21

In response to your request for information for audit purposes, please be advised that as at 31 January 2X21 we are due an amount of £41,700 from Fine Accessories Ltd.

This balance comprises the following invoices:

	£
Invoice FA203	13,400
Invoice FA204	4,100
Invoice FA205	5,700
Invoice FA206	16,100
Invoice FA207	2,400
Total	41,700

From: Premium Cuts Limited
Date: 10 April 2X21
Fine Accessories Ltd – 31 January 2X21

In response to your request for information for audit purposes, please be advised that as at 31 January 2X21 we are due an amount of £33,100 from Fine Accessories Ltd.

This balance comprises the following invoices:

	£
Invoice 113469	14,500
Invoice 113999	3,200
Invoice 114760	5,300
Invoice 114874	10,100
Total	33,100

From: Smooth Cuts Limited
Date: 13 April 2X21
Fine Accessories Ltd – 31 January 2X21

In response to your request for information for audit purposes, please be advised that as at 31 January 2X21 we are due an amount of £32,100 from Fine Accessories Ltd.

This balance comprises the following invoices:

	£
Invoice 34890	4,600
Invoice 35111	15,500
Invoice 35943	12,000
Total	32,100

Extracts from Fine's financial ledger

Extract from list of internally generated goods dispatched notes (GDNs)

Supplier	Description	Amount (£)
Abbas Limited	Invoice 2546 Goods returned by tracked courier on26 January 2X21 due to imperfections running through the leather	7,780

Extract from list of goods received notes (January 2X21 and February 2X21)

Date	Supplier	Description	Amount (£)
29.01.2X21	Delta Limited	200 gold and silver-platedshow buckles	£2,490
30.01.2X21	Gorgeous Designs Limited	10kg assorted studs and edging	£1,355
30.01.2X21	Folds Out Limited	50m high quality leather trim	£2,400
01.02.2X21	Buckle Up Limited	300 leather boot buckles, invoice 788	£2,120
02.02.2X21	Delta Limited	200 handbag buckles, invoice 814	£1,240
02.02.2X21	Soul Mates Limited	1000 mixed-size men's boot/ shoe soles	£2,400

Extract from trade payables ledger as at 31 January 2X21

Supplier	Invoice details	Invoice amount (£)	Account total (£)
Delta Limited	Invoice	2,490	2,490
Premium Cuts Limited	Invoice 113469	14,500	
	Invoice 113999	3,200	
	Invoice 114874	10,100	27,800
Smooth Cuts Limited	Invoice 114760	5,300	
	Invoice 34890	4,600	
	Invoice 35111	15,500	
	Invoice 35943	12,000	37,400

Question 2

Read the following scenario.

It is February 20X2 and you are the audit manager on the audit of the financial statements of Top Tubs Ltd ('Tubs') for the year ended 31 October 20X1. Tubs has been an audited entity of your firm for a number of years.

Tubs buys luxury hot tubs from North America, ships them over to the UK and sells them to UK customers. Tubs has a large showroom for customer viewing, based in Liverpool. It also has a warehouse next to the showroom where all the tubs shipped in are quality-checked before being distributed to customers. The ownership of all Tubs' dispatched goods transfers to the customer upon customer receipt.

Your audit partner Giovanni McKenzie recently had a meeting with the finance director of Tubs, Katie Christie, to discuss a number of outstanding matters following completion of the on-site audit fieldwork. Giovanni has asked you to review the notes of the meeting (Appendix) and evaluate each of the outstanding matters, explaining any potential impact on the financial statements. They would also like you to consider further actions or additional evidence required in response to the findings from your review and to prepare a summary of audit misstatements ('SAM') noting, where applicable, any potential adjustments. They wish you to conclude as to which items may require adjustment.

You note that overall materiality for this year's audit has been set at £100,000 with a trivial threshold of £5,000.

For the purposes of this question, you should ignore VAT.

Questions:

1. Evaluate each of the outstanding matters explaining any potential impact on the financial statements.

(12 marks)

2. Design, for each outstanding matter, any further actions or additional evidence required as a result of your findings.

(12 marks)

3. Prepare a SAM noting, where applicable, any potential adjustments arising from the matters noted and conclude which items may require adjustment.

(13 marks)

(37 marks)

Points for discussion	Notes from discussion
During our attendance at the year-end inventory count, it was noted that 15 hot tubs were sitting in the packing area that were not included in the final inventory listing. During the audit fieldwork in January 20X2 it was noted that these had been invoiced and were ready to be delivered. However, the customer, Lodges UK, had experienced some construction delays and was not ready for them yet. It had been agreed that Lodges UK would pay upon delivery, estimated to be in 3 months' time. The recording of the sale had been verified to the invoice, trade receivables ledger and trade receivables balance within the nominal ledger. The cost of the inventory was also confirmed as having been recognised within cost of sales.	Lodges UK took delivery of the tubs on 3 February 20X2. Upon delivery, it had paid the invoice of £150,000 immediately. The cost of the inventory concerned is £120,000.
In July 20X1, the total pension payment payable to the company's pension provider was recorded as £51,836 (Dr Payroll costs, Cr Pension liability £51,836). The payment of the liability was recorded at the same amount – Dr Pension liability £51,836, Cr Bank £51,836. However, the payment recorded did not agree to the bank statement which showed £15,836. The payroll clerk was on holiday during the audit fieldwork, so the query was still outstanding. At year-end, it remained as an unreconciled item on the bank reconciliation.	The payroll clerk had looked into this matter and it appeared to be a transposition error. The correct figure is £15,836. The payroll clerk posted the following journal: Dr Bank and cash 36,000 Cr Suspense account (Statement of financial position) 36,000
It was flagged during the audit that there was an aged trade receivables balance that had been outstanding for >180 days. This was for an amount due from a holiday park company and the balance outstanding was £81,000. The customer had failed to respond to the trade receivables circularisation. Tubs had provided for 50% of the balance in the allowance for receivables at the year-end.	Katie had mentioned at the meeting that she had seen on the news that the holiday park company was experiencing financial difficulties and had entered administration.
A shipment of tubs had arrived on 31 October 20X1 and only part of the delivery had been quality checked and processed by year-end. One tub with a value of £4,900 had not yet been processed or included in inventory until the following day, at which point the value of the goods processed had been correctly included within the goods received not invoiced (GRNI) accrual.	Katie had mentioned that Tubs was ordering larger shipments of hot tubs and this matter had occurred a few times now. The audit team was made aware of this, and she was in discussions with the inventory manager about how to address this. Giovanni verified the inventory listing for 31 October 20X1 and confirmed that the items were not listed. It was noted that the audit team had not found any further errors during testing and had extended the sample following management's comment regarding errors during the year.